Accurate Pricing in a Volatile Rate Environment

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Executive Summary

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The volatile rate environment of the last two years has made accurate mortgage pricing more important than ever for mortgage lenders and their capital market partners. At the same time, rapid advancements in technology, including AI, have made new efficiencies possible in ways that were hard to imagine just a few years ago. These new tech capabilities offer the opportunity to outperform the competition — or get left behind.

To remain competitive, lenders need a transparent, proactive pricing engine to dial in on margins, recapture business and work seamlessly across their tech stack. This white paper outlines how Polly's next-generation product and pricing engine provides the right tools that today's mortgage lenders need now.

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The mortgage industry entered a new cycle on September 18, 2024 when the Federal Reserve announced its first rate cut since 2022. While this is welcomed news, mortgage rates increased in the following weeks, illustrating the complexity of pricing and introducing another layer of uncertainty into the mortgage loan process. Borrowers are closely following rate changes without understanding the many variables that affect mortgage pricing.

Lenders must prepare to meet this uncertainty with a fast, flexible PPE that delivers accurate rate quotes even as conditions change. They also need transparency to see and explain these shifts to the borrower. Most importantly, lenders need to have insight on historical trends and worst-case scenarios to educate the borrower—and protect their own margins.

Achieving this level of accuracy and insight is no easy task, especially as it requires streamlining a human-centered workflow. To succeed, lenders need a PPE with flexible configuration, dynamic margin management, robust API integrations and the ability to recapture business.

Workflow Challenges

Lenders face a number of workflow challenges when it comes to pricing, including:

1. Multiple Handoffs

Many people "touch" a loan during the origination process, and every handoff creates a risk, especially when critical borrower inputs, like debt to income (DTI) or a credit score, change. Making sure changes are effectively communicated—first internally and then to the borrower—is paramount. If something changes in the loan file that affects pricing, lenders need to let the borrower know as soon as possible and be able to explain the change. Without the right PPE, lenders can get caught flat-footed and damage their relationship with the borrower.

2. Fragmented Systems

Disconnected technology requires originators to jump between platforms and screens to make sure data is populated correctly across their entire tech stack. Siloed systems prevent pricing engines from interacting with a lenders' LOS, POS, CRM and other essential mortgage technologies, requiring LOs to manually track file or rate changes and borrower interactions. All of this paper chasing reduces the productivity of the most valuable people on a lender's team, while increasing the likelihood of mistakes.

3. Manual Pipeline Tracking

Dropping rates mean more borrowers qualify for refinancings, but manually keeping track of which borrowers qualify under which scenarios puts lenders in a reactive stance. All of this is taking place while AI technology is

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being leveraged by other lenders (and servicers) to identify and reach borrowers very quickly. Without a proactive system in place, lenders risk being too slow and seeing their refinance opportunities captured by competitors.

4. More Competition

Lenders are competing like never before for their borrowers' repeat business. With new technology, lenders and servicers of every kind can target consumers with refinance offers. The current landscape favors those who are leveraging the most advanced and agile technology to make sure they are first in line.

> **"The last two years have been brutal for mortgage lenders: rising rates have throttled volume and origination costs have soared. Smart margin management is more important than ever, and lenders need the right tech solutions in place that flip the script to grow profitability."**

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What Differentiates the Polly PPE?

Mortgage rates have a lot to react to in the current economic landscape. Apart from changes to the Fed funds rate, market forces like employment and inflation can move rates quickly within the day, complicating pricing. Polly's patent-pending PPE delivers a wide range of competitive advantages, among which include dynamic margin management, robust API integrations and the ability to recapture business that is crucial in this cycle.

Dynamic Margin Management

Mortgage lenders have operated on razor-thin profitability over the last two years and margin management is the true separator in this cycle. The Polly PPE delivers:

1. Automated Pipeline Management

Polly's native pipeline monitoring automatically detects and notifies LOs of any changes that could affect price, empowering lenders to take immediate action and intervene at critical points.

A common example is when a borrower's credit score gets downgraded by underwriting after finding out more accurate information, changing the price and potentially putting the monthly payment out of the borrower's reach. Polly's automated pipeline monitoring instantly detects any change in circumstance and alerts the LO so they are able to intervene and save the loan. If left up to humans, this process is time-consuming and requires staff to repeat processes, wasting time and jeopardizing margins as market conditions change.

The Polly PPE not only proactively monitors for data changes, but it also streamlines and automates the change process. When a change in circumstance results in an impact to eligibility or pricing, Polly will automatically reprice the loan to reflect its updated values—without user intervention. If no impact to eligibility or pricing is detected, the loan is auto accepted and saved inside the PPE.

Across the pipeline, the LO has granular visibility into any change and the exact before and after values that impact price, laying the foundation for a productive and informed conversation with their borrowers. Ultimately, this automation quiets the noise of change management, allowing LOs to focus on solving the problems that affect their bottom line.

2. Customized Rule Management

Polly's PPE allows lenders to easily customize their rules according to investor channel, branch, broker, product, loan type, loan term and more. Loan-level parameters can be adjusted based on lock period, note

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rate and other tailored filters. While legacy engines require such rules to be configured and applied one by one, this structure is a hugely limiting factor in lenders' ability to configure products, eligibility, and pricing on a multi-dimensional basis. Why? It is not often that one rule will affect every product in practice, so lenders are left scripting the same rule in dozens of places.

Polly empowers its users to maximize their efficiency, build granular and detailed rules, and apply that rule to multiple or all products. In a low-volume, low-margin environment, this speed and flexibility enables lenders to capture every opportunity to better serve borrowers. Moving fast while maintaining accuracy is a competitive advantage in every market, including this one.

3. Custom Parameters and Fields

Every mortgage operation is unique. Another sizable advantage of the Polly PPE includes easy to self-configure custom fields, which are completely free of charge. Within minutes, lenders can create as many custom parameters and fields as they want for a myriad of different pricing-related strategies without having to repurpose an existing field, pay their vendor to create a new field or find a workaround. Instead, they experience ultimate flexibility that allows them to effectively accomplish anything they want as it relates to pricing scenarios, scripting eligibility, margin or LLPA rules and more. This includes any variety of unique and strategic lender-specific pricing, policy strategies, strategic business models and more.

Self-configuration is yet another way the Polly PPE is tailored to each unique lender and their business model, eliminating inefficient systems riddled with band-aids and workarounds.

4. Easy Access to Version History

The Polly PPE gives lenders access to all of their historic content, allowing them to return at will to see the rules and products that influenced that unique pricing. Additionally, lenders also gain historical access to the actual version and configuration behind those rules. This granular visibility enables users to track or audit exactly what changed, when it changed and who published those changes.

This benefit is especially helpful in a competitive housing market, where borrowers may return weeks after a lender ran one scenario with a different house they are bidding on. The Polly PPE provides the most granular view of data about scenarios that enable lenders to walk borrowers through conditions, products, and investor rules, and where those may have shifted. Sharing this complete snapshot builds trust and confidence with borrowers who need to understand why they are being quoted at a different rate or why their eligibility for different programs has changed.

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API Integrations

New tech integrations can be a drain on staff and resources as lenders work them into their current tech stack and processes, but the Polly PPE has been purpose-built to eliminate this challenge.

Integrations across the tech stack

Polly has seamless and bi-directional API integrations with the mortgage industry's leading Loan Origination Systems (LOS), Point of Sale (POS) solutions, Customer Relationship Management (CRM) technology and Mortgage Insurance (MI) providers. Polly built their PPE with an API-first strategy, allowing it to integrate today's platforms and those of the future. This interconnectivity allows lenders to leverage the Polly PPE alongside other best-in-class solutions to address borrower pain points and provide accurate pricing efficiently.

> **"Ultimately, seamless integrations solve common lender problems stemming from slow updates, inflexible margin management and disparate systems. By implementing the Polly PPE, a lender is able to set detailed margin rules that automatically adjust across the tech stack in real time—allowing them to provide competitive rates and protect margins during even the most volatile periods."**

Recapturing business

As the industry anticipates rate drops from 2023 highs, refinance business competition the competition has ratcheted up again, and technology can make a game-changing difference in contacting those buyers at the right time with the right offer. Lenders using Polly's patent-pending PPE can take advantage of robust batch processing APIs to proactively monitor and analyze loan pipeline pricing to identify opportunities to recapture business and re-engage existing clients.

Identifying clients that may benefit from a refi during a volatile rate period is a cheat code for success in this market, and lenders who aren't using this technology are behind the competition. Polly is at the forefront of this asynchronous movement.

Conclusion

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Polly leads a significant model shift from monolithic pricing engines that once dominated the mortgage industry. Purpose-built in the cloud and for the cloud, Polly's agile PPE is a competitive advantage in any environment, especially a volatile rate environment. The platform's flexibility, functional depth and versatility creates strong value and ROI across its users' margin, product, workflow and competitive strategies. Its flexible and configurable design lets lenders drive business in this cycle and beyond with confidence that their margins are protected, and they are maximizing their opportunities to drive bottom-line profitability. Lenders using Polly are also well positioned to recapture their borrowers' refinance business, which will be critical in the next 18 months.

ARE YOU READY

to be in complete control of your product and pricing strategies?

Adopting the right pricing engine is vital for lenders to stay competitive in this market, and beyond.

Connect with Polly to schedule a tailored, no-cost consultation today.

LET'S TALK